

21. 1:30 PM CASE NUMBER: C25-00144

CASE NAME: YONGCHAN PARK VS. MICHAEL YANG

*HEARING ON MOTION IN RE:

FILED BY:

TENTATIVE RULING:

Before the Court is Plaintiff Yongchan Park and Plaintiff Jihoon You (collectively, “Plaintiffs”)’s motion for summary adjudication (the “MSA”). Plaintiffs seek adjudication on two issues: (1) that Defendant Minhe, Inc. owed them certain duties under the IWC Wage Order 7 and the California Labor Code, and (2) that Defendants’ affirmative defense of family relationship fails as a matter of law.

First, the Court addresses the state of the papers. Plaintiffs filed their motion on October 2, 2025 with a hearing date of December 22, 2025. The hearing was later continued to January 12, 2026. In opposition, Defendants Michael Yang and Minhe, Inc. filed a Declaration of Richard D. Schramm as well as what purported to be memorandum of points and authorities in opposition (but was instead an opposition to Plaintiffs’ motion to compel further response to special interrogatories) on December 5, 2025. The Court ordered the parties to appear at the January 12, 2026 hearing to discuss the briefing on the motion and a schedule for the trial.

At that hearing, the Court directed the parties to submit binders of their filed papers. The Court also directed Defendants to file the opposition papers if not previously filed. The Court also continued the hearing on the motion to January 26, 2026. In response, on January 16, 2026 Defendants filed revised documents and new evidence in opposition rather than their as-served opposition documents.

The Court declines to consider these unauthorized new submissions. [See Rule 3.1300(d), California Rules of Court (CRC).] The Court’s order on January 12, 2026 contemplated that Defendants would file with the Court their as-served opposition papers. The Court did not authorize Defendants to submit new opposition documents and evidence. Accordingly, the pending motion is effectively unopposed.

For the following reasons, the MSA is **GRANTED**.

Brief Factual and Procedural Background

The instant case is an appeal of the Labor Commissioner’s ruling in WC-CM-761270, WC-CM-76127, and WC-CM-762296 pursuant to Labor Code § 98.2(a) by Defendants. Plaintiffs’ claims under the California Labor Code and the IWC Wage Orders arise out of their work at Rose and Mike’s Liquor between December 14, 2016 and October 28, 2018.

Rose and Mike’s Liquor is a business located at 12622 San Pablo Ave., Richmond, CA 94805. (UMF 1.1.) Rose and Mike’s Liquor is a retail establishment that sells wine, beer, spirits, groceries, and some apparel. (UMF 1.2.) Michael Yang has been the sole owner, officer, and director of Minhe, Inc. since Minhe, Inc. was created in 2014. (UMF 1.3.) Minhe, Inc. has owned and operated Rose and Mike’s Liquor continuously since 2014. (UMF 1.4.) Minhe, Inc. owned and operated Rose and Mike’s Liquor between December 1, 2016 and October 28, 2018. (UMF 1.5.)

Between December 14, 2016 and October 28, 2018, Plaintiff Yongchan Park performed labor in and around Rose and Mike’s Liquor. (UMF 1.6.) Between December 14, 2016 and October 28, 2018,

Plaintiff Jihoon You performed labor in and around Rose and Mike's Liquor. (UMF 1.7.) Between December 14, 2016 and October 28, 2018, Jihoon You and Yongchan Park moved boxes and helped clean at Rose and Mike's Liquor. (UMF 1.8.) Between December 14, 2016 and October 28, 2018, Jihoon You and Yongchan Park performed activities that Defendants characterize as "gratuitous family labor" in and around Rose and Mike's Liquor. (UMF 1.9.)

On or around October 28, 2018, Plaintiffs "were ordered not to return" to Rose and Mike's Liquor. (UMFs 1.21–1.22.) Thereafter they ceased to perform work in the store. Plaintiff You received some limited payments for his work in 2018 but otherwise was not paid any wages. (UMF 2.3.)

In 2019, Plaintiffs filed wage claims with the Division of Labor Standards Enforcement. The DLSE issued decisions on Plaintiffs' claims in January 2025. Defendants then filed an appeal with this Court pursuant to Labor Code § 98.2(a).

Legal Standard

A "party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact" (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id.* at 851.) A plaintiff moving for summary judgment satisfies the initial burden by submitting undisputed evidence "showing that there is no defense to a cause of action [because] the party has proved each element of the cause of action entitling the party to judgment on the cause of action." (Code Civ. Proc. § 437c(p)(1).)

Only if the moving party successfully meets this burden does the burden shift to the opposing party to make its own prima facie showing of the existence of a triable issue of material fact. (*Ibid.*; see also *Chern v. Bank of America* (1976) 15 Cal.3d 866, 873.)

A party may also seek summary adjudication of select causes of action, affirmative defenses, claims for damages, or issues of duty, which may be made by a standalone motion or as an alternative to a motion for summary judgment and proceeds in all procedural respects like a motion for summary judgment. (Code Civ. Proc. § 437c(f)(1)-(2).)

Analysis

Plaintiffs first seek summary adjudication on the issue of whether Minhe, Inc. was their employer and thus owed them duties imposed on employers by IWC Wage Order 7.

"[I]n Labor Code wage and hour violation cases, the wage order definition of the employment relationship and the *Martinez* test control." (*Taylor v. Financial Casualty & Surety, Inc.* (2021) 67 Cal. App. 5th 966, 996 [citation omitted].) Under *Martinez*, the term "employment" in state wage and hour cases means: "(a) to exercise control over the wages, hours or working conditions, or (b) to suffer or permit to work, or (c) to engage, thereby creating a common law employment relationship." (*Martinez v. Combs* (2010) 49 Cal.4th 35, 64.) Where more than one entity falls within the definition of an "employer" under the applicable Wage Order with respect to the person performing work, the entities may be joint employers of the person.

"'Control over wages' means that a person or entity has the power or authority to negotiate and set an employee's rate of pay, and not that a person or entity is physically involved in the preparation of an employee's paycheck." (*Aleksick v. 7-Eleven, Inc.* (2012) 205 Cal.App.4th 1176, 1188 [quoting *Furell*

v. Payday Calif. Inc. (2010) 190 Cal.App.4th 1419, 1429.) To suffer or permit to work entails the power “to either cause to work or prevent from working.” (*Futrell, supra*, 190 Cal.App.4th at p. 1435.)

The undisputed evidence supports the conclusion that Minhe, Inc. meets both the tests of “suffer or permit to work” and “exercise control over wages” under *Martinez*. It is undisputed that Plaintiffs performed labor for Rose and Mike’s Liquor between December 14, 2016 and October 28, 2018. (UMFs 1.6–1.7.) Defendants were aware of Plaintiffs’ work. (UMFs 1.10–1.11.) Minhe, Inc.—through its sole officer, director, and shareholder, Michael Yang—had the power to prevent Plaintiffs’ work from occurring. (UMF 1.17.) Between 2016 and 2018, Defendant Yang was solely responsible for hiring and firing employees at Rose and Mike’s Liquor. (UMF 1.18.) At all relevant times, Minhe, Inc. has owned the property where Rose and Mike’s Liquor is located, and it has the power to prevent unwanted persons from entering or remaining in the business. (UMFs 1.19–1.20.) The foregoing undisputed facts establish “the defendant’s knowledge of and failure to prevent the work from occurring.” (*Martinez, supra*, 49 Cal.4th at p. 70.)

Defendants’ control over Plaintiffs wages is also undisputed. As early as 2018, Defendant Minhe, Inc.’s policy was that Plaintiffs could not be “employees” entitled to compensation. (UMF 2.1.) Additionally, Defendant Yang, on behalf of Defendant Minhe, Inc., would “count the hours” of Minhe, Inc.’s workers for purposes of Minhe, Inc.’s payroll. (UMF 2.2.) Finally, in 2018, Minhe, Inc. began issuing sporadic paychecks and check stubs to Plaintiff You. (UMF 2.3.)

Plaintiffs have met their burden of proof to show that Minhe, Inc. caused them to work and controlled their wages, and are therefore considered an employer under *Martinez*. As a consequence, Minhe, Inc. had a duty to comply with their obligations under the Wage Orders of the Industrial Welfare Commission. (See *Martinez, supra*, 49 Cal.4th at pp. 65-66.)

Affirmative Defense: Immediate Family Exemption

Next, Plaintiffs move for summary adjudication of Defendants’ affirmative defense that they are exempt from the obligations imposed by Wage Order 7 and the California Labor Code because of their familial relationship with Plaintiffs.

IWC Wage Order 7 contains only one exemption for immediate family relationships. It states that the “provisions of this order shall not apply to any individual who is the parent, spouse, child, or legally adopted child of the employer.” (IWC Wage Order 7, § 1(D); Cal. Code Regs. tit. 8, § 11070, subd. 1(D).)

As a threshold issue, the Court agrees with Plaintiffs that the immediate family exemption does not apply to the corporate entity Minhe, Inc. as it is not an “individual” within the meaning of the statute.

The Court also concludes that the nature of Defendant Michael Yang’s relationships with Plaintiffs does not support application of the exemption. At all times relevant to this case, Jihoon You was Michael Yang’s stepson. (UMFs 4.1–4.2.) Jihoon You was already an adult when his mother married Michael Yang in 2014, and Michael Yang never legally adopted him. (UMFs 4.2–4.3.) Yongchan Park is Michael Yang’s first cousin once removed. (UMFs 4.4–4.5.)

Yongchan Park is clearly outside of the statutory definition “parent, spouse, child, or legally adopted child of the employer.” With respect to Jihoon You, although he was Defendant Michael Yang’s stepson, he was never legally adopted so he, too, falls outside the statutory definition (as he is

neither Yang’s “child” nor “legally adopted child”). The plain language of the exemption does not reflect any ambiguity as to whether “child” encompasses an unadopted stepson. The separate enumeration of “child” and “legally adopted child” in the exemption leads to the plain reading that “child” is meant as “biological child.”

Plaintiffs have met their burden to show that they are not included in the limited class of familial relationships excluded from Wage Order 7.

Evidentiary Objections

The Court rules only on those objections material to the Court’s ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).) Here, there were none.

Disposition

The Court finds and orders as follows:

1. The MSA is GRANTED.
2. Moving party to prepare the order after hearing.